

After easing of food inflation, the cooling effect

Retail inflation, as measured by the **consumer price index**, **plunged** to a multi-year low of 2.82 per cent in May 2025, according to the latest data from the National Statistics Office. This is, in fact, the lowest recorded inflation after February 2019. With this latest print, retail inflation has averaged just under 3 per cent in the quarter so far (April-May). This is **in line with** the RBI's expectations. In the Monetary Policy Committee's June meeting, the central bank had **pegged** inflation at 2.9 per cent in the first quarter.

The decline was, in part, due to **softening** food inflation. The **moderation** in the food price index **was** led by vegetables (-13.7 per cent) and pulses (-8.22 per cent), even as oils, fats and fruits have **registered** double-digit inflation. The agricultural sector had **fared** well last year — it had grown by a **robust** 4.6 per cent — with the benefits showing in the rabi crop. Much will now depend on how the southwest monsoon **unfolds**. As on June 12, rainfall during the season has been 33 per cent below its **long-term average**. This will decide the **fate** of the kharif crop, the **sowing** for which has **commenced**. On the other hand, **core inflation**, which excludes the **volatile** food and fuel components, **remained** stable at around 4.3 per cent. Inflation, though, remains high in the personal care and effects category. In an earlier report, analysts at Nomura had noted that “**muted core inflationary pressures** likely **reflect** lower global commodity prices, India's increased **reliance on** Chinese imports, weak domestic growth, and muted second-round effects through lower household inflation expectations and wage growth”. With this latest **print**, inflation has **stayed** below the RBI's target of 4 per cent for four **consecutive** months.

In its last meeting, the RBI's Monetary Policy Committee had lowered the **benchmark repo rate** by 50 **basis points**. Since February, the MPC has **cumulatively** cut rates by 100 basis points, bringing down the repo rate to 5.5 per cent. **Alongside**, the central bank had also lowered the **cash reserve ratio** by 100 basis points, a move designed to **aid** policy **transmission**. At the same meeting, however, RBI Governor Sanjay Malhotra also noted that “monetary policy is left with very limited space to support growth”. As per the central bank's **projections**, inflation is likely to slowly **edge** upwards this year, averaging just about 3.7 per cent, even as some analysts expect it to be lower. The MPC is thus likely to adopt a **wait-and-watch approach**. Greater clarity will emerge on the monsoon over the coming weeks and months. This will have **implications** for food output and prices. How the **trajectories** of prices and growth **evolve** will determine further policy action.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

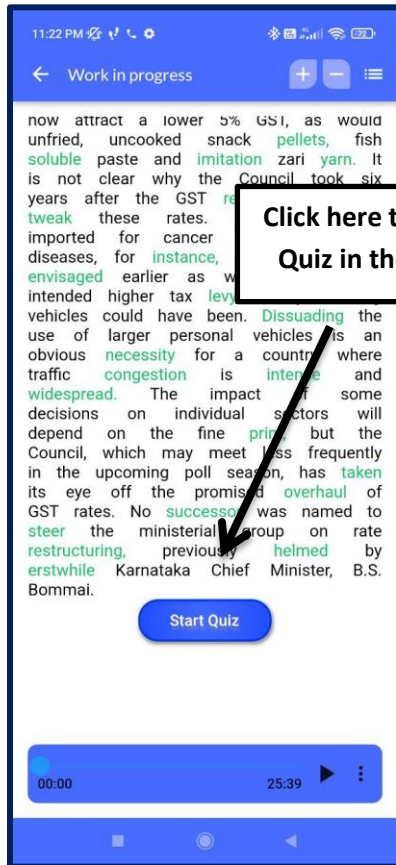
1. **Ease** (verb) – reduce, alleviate, diminish, lessen, mitigate कम करना
2. **Retail inflation** (noun) – the rate at which the prices of goods and services that consumers buy for personal use increase over time. खुदरा महंगाई
3. **Consumer price index** (noun) – a measure of the average change over time in the prices paid by consumers for a representative basket of consumer goods and services.
4. **Plunge** (verb) – fall sharply, drop suddenly, decline steeply, crash, tumble तेज़ गिरावट आना
5. **In line with** (phrase) – in agreement with, consistent with, conforming to, matching, aligned with के अनुरूप
6. **Peg** (verb) – fix, set, estimate, determine, anchor निर्धारित करना
7. **Soften** (verb) – reduce, ease, moderate, lower, decrease कम करना
8. **Moderation** (noun) – reduction, decline, easing, tempering, control स्थिरता / मध्यमता
9. **Register** (verb) – record, show, reflect, indicate, report दर्ज करना
10. **Fare** (verb) – perform, do, manage, progress, function करना
11. **Robust** (adjective) – strong, healthy, sturdy, resilient, vigorous मज़बूत
12. **Unfold** (verb) – develop, reveal, emerge, occur, happen खुलना / सामने आना
13. **Long-term average** (noun) – a statistical measure calculated over an extended period, providing a representative value that smooths out short-term fluctuations दीर्घकालिक औसत
14. **Fate** (noun) – destiny, outcome, result, consequence, future भाग्य / परिणाम
15. **Sowing** (noun) – planting, seeding, cultivation, germination, propagation बुवाई
16. **Commence** (verb) – begin, start, initiate, launch, set off आरंभ करना
17. **Core inflation** (noun) – a measure of inflation that excludes certain items that face volatile price movements. Core inflation eliminates products that can have temporary price shocks. मूल मुद्रास्फीति
18. **Volatile** (adjective) – unstable, fluctuating, erratic, unpredictable, variable अस्थिर
19. **Muted** (adjective) – subdued, low, restrained, weak, soft कम / मद्धम
20. **Core inflationary pressure** (noun) – the underlying or long-term trend of rising prices in an economy, excluding the often volatile components like food and energy.

21. **Reflect** (verb) – show, indicate, reveal, display, express प्रतिबिंबित करना
22. **Reliance** (on) (noun) – dependence, trust, use, need, confidence निर्भरता
23. **Print** (noun) – reading, figure, value, estimate, recorded data मुद्रण / माप
24. **Stay** (verb) – remain, continue, persist, hold, maintain बने रहना
25. **Consecutive** (adjective) – successive, continuous, sequential, back-to-back, uninterrupted लगातार
26. **Benchmark repo rate** (noun) – the rate at which central banks lend to commercial banks, usually against government securities.
27. **Basis point** (noun) – 100 basis point = 1%
28. **Cumulatively** (adverb) – collectively, in total, altogether, in sum, in aggregate कुल रूप से
29. **Alongside** (adverb) – together with, in addition to, concurrently, simultaneously, next to के साथ-साथ
30. **Cash reserve ratio** (noun) – the fraction of a bank's total deposits that it is required to hold as reserves with the central bank
31. **Aid** (verb) – help, assist, support, facilitate, promote मदद करना
32. **Transmission** (noun) – transfer, pass-through, spread, delivery, flow प्रवाह / संचरण
33. **Projection** (noun) – forecast, estimate, prediction, outlook, expectation पूर्वानुमान
34. **Edge** (verb) – move slowly, rise slightly, advance gradually, increase gently धीरे-धीरे बढ़ना
35. **Wait-and-watch approach** (noun) – cautious strategy, observing policy, patience-based method, monitoring stance, deliberate pause प्रतीक्षात्मक दृष्टिकोण
36. **Implication** (noun) – consequence, effect, outcome, result, significance प्रभाव / निहितार्थ
37. **Trajectory** (noun) – path, trend, direction, course, movement प्रवृत्ति / प्रक्षेप पथ
38. **Evolve** (verb) – develop, change, transform, progress, unfold विकसित होना

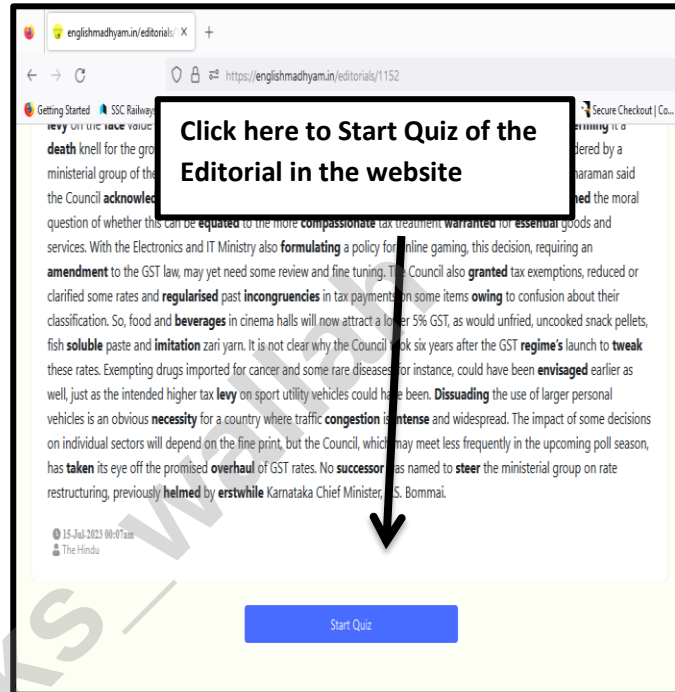
Summary of the Editorial

1. Retail inflation fell to a multi-year low of 2.82% in May 2025, the lowest since February 2019.
2. The average retail inflation for the quarter so far (April-May) is just under 3%, aligning with the RBI's projections.
3. The RBI's Monetary Policy Committee (MPC) had forecasted 2.9% inflation for the first quarter in its June meeting.
4. The main contributor to the fall in inflation was a decline in food inflation.
5. Notable decreases were observed in vegetable prices (-13.7%) and pulses (-8.22%).
6. However, oils, fats, and fruits continued to show double-digit inflation.
7. A strong 4.6% growth in agriculture last year supported better rabi crop output.
8. The future of inflation depends on the southwest monsoon, which was 33% below normal as of June 12.
9. The kharif crop's performance will hinge on how the monsoon progresses in the coming weeks.
10. Core inflation, which excludes food and fuel, remained stable at 4.3%.
11. Inflation is still high in the personal care and effects category.
12. Analysts (e.g., Nomura) attribute muted core inflation to factors like low global commodity prices, increased Chinese imports, weak domestic growth, and muted wage growth.
13. Inflation has now remained below RBI's 4% target for four consecutive months.
14. Since February, the repo rate has been cut by 100 basis points, now at 5.5%, and the cash reserve ratio has also been reduced.
15. Despite rate cuts, policy space is limited; the RBI is expected to maintain a cautious, wait-and-watch stance, depending on monsoon impact and future inflation-growth dynamics.

Practice Exercise: Banking Pattern Based



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